

THE 16-YEAR JOURNEY

► Since Rajeev Jain came on board in 2007, there has been a considerable uptick in metrics

► Return on equity (ROE) has jumped from 2% to 23.5%

PARAMETER	FY08	FY23
Total income (₹ crore)	503	41,415
Net profits (₹ crore)	21	11,508
AUM (₹ crore)	2,478	2,47,379
Customer franchise	0.8 million	69.1 million
ROA	0.70%	5.30%
ROE	2%	23.5%

Note Consolidated numbers **Source** Company

THE NEW TARGET

► With its digital plan, the NBFC hopes to have more than 110 million customers

► It is betting on payments to ensure better engagement

AREAS	FY23	TARGET (FY27)
Customer franchise	69.1 million	110-120 million
Payment GMV	0.04%	1-1.25%
Share of total credit	1.70%	2.5-2.7%
ROE	23.50%	20-22%

The company is also venturing into new areas such as car financing, emerging corporate lending, micro-finance, and tractor financing.

But there are challenges it faces. The significant one, considering its digital focus, is regulatory scrutiny of digital products for compliance gaps. In November, the Reserve Bank of India directed Bajaj Finance to immediately cease sanctioning and disbursing loans under its 'eCOM' and 'Insta EMI Card' products. The Insta EMI Card offers consumers pre-approved credit up to ₹2 lakh for small purchases, while eCOM provides lending on popular e-commerce platforms. The RBI's decision stemmed from the company's non-compliance with digital lending guidelines, particularly the absence of Key Fact Statements for borrowers and deficiencies in those issued for other digital loans. "The adverse impact of RBI's embargo on new customer acquisition through digital channels could be a temporary phenomenon and

loan growth could accelerate once it is lifted. Additionally, sectoral headwinds in terms of pressure on NIMs due to rise in cost of funds could fade away in a couple of quarters with improvement in crunched liquidity situation," investment consultancy firm Way-2Wealth has said in a report.

It also confronts an NBFC landscape that is changing, and changing fast. For the first time, Bajaj Finance faces competition from major corporate players targeting this market. Big conglomerates like Reliance Industries, Poonawalla, Piramal, and Godrej groups have entered the fray. This could affect margins. But Jain seems unperturbed. "As long as we continue to use technology and data-first as a business construct, we will become more efficient... we will continue to deliver 21-23% ROE," he says.

There is another challenge it faces: Raising funds or deposits at the lowest cost. "We used to primarily borrow wholesale and lend retail in the first seven years of our journey. Since 2014, we have also begun borrowing retail and lending wholesale. We've started

attracting retail deposits and engaging in commercial lending," says Jain. Currently, 22% of the company's total borrowing is retail. In fact, Bajaj Finance has the largest deposits among non-bank institutions. Currently, Bajaj Finance holds a 33% share of bank lending in its liabilities mix, while the share of non-convertible debentures (NCDs) stands at 33%. "Our aim is to have 25% of our liabilities sourced from retail and corporate sectors in the medium term," says Jain.

Beyond these challenges, he is also preparing the company for a gradual and seamless management transition. Anup Saha, who came from ICICI Bank in 2017, will become Deputy Managing Director from Executive Director in April. He will be supported by three new COOs—Deepak Bagati, Sandeep Jain and Anurag Chottani. Saha will continue to report to the MD.

For now, Jain is not going anywhere. He is busy leading the NBFC into the next phase. **BT**

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